

Korea Internet

Kakao Corporation

Rating

Outperform

Price Target

035720.KS

65,000 KRW (80,000 OLD)



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Kakao Q2: Can you live without KakaoTalk?

Q2 OP beat by 20%. On Aug 6 (HKT), Kakao posted Q2 print before the market open. Revenue came in at KRW 2.1tn (+9% YoY), while operating profit surged to KRW277bn (+36% YoY), driving margins to 13.2% (+2.6pp YoY). Double-digit digital ad growth (+14%), non-core divestments continued, operating margins improved, and the **Coupang Eats** partnership strengthened its agentic AI narrative. Yet the stock barely reacted (again). One lesson from a decade in equity research, when strong numbers fail to move a stock, the market is telling you something. That brings us back to the fundamental question.

The gap... What investors want from Kakao. AI narratives are evolving by the week (or faster), and investors want to see the proof of the execution (or more). Speed of execution is one challenge, but Kakao's bigger hurdle is user behavior - a *double-edged sword*. We've argued at February initiation that programming user behaviour is harder than programming AI. KakaoTalk's near-universal reach is both its greatest asset and its biggest constraint. The key question is whether Kakao could monetize its massive user base and drive agentic AI adoption "fast enough" to convince the market. If so, it should narrow the "gap".

Coupang Eats joins the ecosystem. A key question since initiation has been, who will play ball with Kakao? The Coupang Eats partnership marks a meaningful win for Kakao's agentic AI ambitions. We've long viewed Kakao as a "WeChat without Mini Programs", making strong vertical partners critical to its ecosystem strategy. Given the stable food delivery duopoly in Korea, this partnership could have implications beyond Kakao's AI story, potentially reshaping competitive dynamics in Korean food delivery, depending on Kakao AI penetration.

A front-runner for Korea's AI push? Kakao reiterated FY26 targets of 10% revenue growth and 10%+ OP margin, while guiding for AI revenue to become a meaningful contributor by 2028, reaching a double-digit share of Talk Biz revenue (KRW 200bn+). Kakao aims to grow AI users within KakaoTalk to 10M by end-2026, c.20% penetration of its 49m users. Kakao is exploring a way to become Korean consumer-facing AI winner with its strong application layer, with potential upside from winning the government's "AI for All" project.

Investment Implications

We have **Outperform** rating on **Kakao**, favoring its strong application layer. TP KRW65K (from KRW80K).

Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
035720.KS (KRW)	1,113.49	1,267.83	1,839.82	Net Earnings (M)	491,493	561,144	814,305	28.7%	Reported P/E (x)	34.4	30.2	20.8
OLD	--	1,778.76	2,014.00	Operating Earnings (M)	771,083	1,029*	1,171*	23.2%	EV/Sales (x)	1.7	1.7	1.5
				Revenues (M)	8,210*	8,395*	9,112*	5.4%	EV/EBIT (x)	18.1	13.6	11.9

*Values shown in billions; Source: Bloomberg, Bernstein estimates and analysis.

Close Date	6 Aug 2026
035720.KS Close Price (KRW)	38,300
Price Target (KRW)	65,000
Upside/(Downside)	70%
52-Week Range	69,700/32,250
ASIAX	1,938.44
FYE	Dec
Div Yield	0.2%
Market Cap (KRW) (B)	16,966.17
EV (KRW) (B)	13,988.53
Performance	YTD 1M 6M 12M
Absolute (%)	(36.3) 8.2 (32.3) (39.8)
ASIAX (%)	18.5 (2.1) 12.6 32.8
Relative (%)	(54.8) 10.3 (44.9) (72.6)
Source: Bloomberg, Bernstein estimates and analysis.	

Price Performance, 1YR



DETAILS

KAKAO Q2: CAN YOU LIVE WITHOUT KAKAOTALK?

Earnings estimate change and valuation

We cut our 2027-28 EPS forecasts by 9-10% to reflect more conservative AI monetization assumptions, higher opex and capex associated with Kakao's AI initiatives, and revisions to non-operating cost assumptions. Assuming annual capex of approximately KRW600bn, primarily allocated to data center servers, network equipment, and content-related intangible assets, as well as future capex growth in line with our revenue assumptions, our new PT is KRW65,000 (old KRW80,00), implying a 32x (previous 38x) 1-year forward P/E.

Revenue & margin guidance

Kakao's Platform revenue has re-entered a structural growth phase. Management expects double-digit revenue growth and continued margin expansion in 2H26, with FY26 likely to exceed its 10%+ revenue growth and 10% OP margin targets. AI investments remain manageable and largely offset by growth in ads and commerce. AI is not a margin headwind for now. Kakao expects AI-related opex to remain broadly stable in 2H26, while core ad and commerce businesses continue to fund AI investment. Standalone OP margin is expected to remain at elevated levels.

AI monetization

Meaningful AI monetization starts in 2027. Management expects to establish AI mass adoption by end-2026 and begin meaningful monetization from next year through transaction fees, AI subscriptions (ChatGPT for Kakao), and a new AI ad model. AI to become a major revenue driver by 2028. **Kakao targets AI-related revenue to account for a double-digit percentage of Talk Biz revenue by 2028**, positioning AI as a key growth engine alongside advertising and commerce. AI ads are the next leg of growth for Kakao. As AI services scale, Kakao plans to expand beyond display advertising into intent-based AI search advertising, opening up an entirely new monetization opportunity.

AI user base & engagement

Management expects monthly active users engaging with **AI services inside KakaoTalk to exceed 10m by end-2026** as Agentic AI features roll out. ChatGPT for Kakao has reached 13m cumulative subscribers, with users sending 6+ messages per day and spending nearly 8 minutes daily on the service. Kanana user retention has climbed to nearly 80% from roughly 70% at launch, supported by stronger intent-based recommendations and recurring usage.

All in all, Kakao sees 2026 as the year of AI adoption, 2027 as the start of monetization, and 2028 as the year AI becomes a meaningful double-digit contributor to Talk Biz revenue.

Kakao targets to become a consumer facing AI winner in Korea

Kakao is aiming to win the government's "AI for All" project ([Link](#)), leveraging KakaoTalk, Kanana, and its Agentic AI platform to drive nationwide AI adoption. Success could provide significant GPU resources, accelerate service deployment, and reinforce Kakao's position as Korean consumer-facing AI winner. On Aug 6, Kakao was selected to develop Korea's AI Agent Marketplace, a government-backed initiative aimed at building infrastructure that connects AI agents across industries and enables new AI-driven services and transactions. ([Link](#))

EXHIBIT 1: **Kakao: Q2 2026 earnings summary**

Kakao Q2 2026 results			Delta		Growth YoY	
		Q2 2026	vs. Bern	vs. Cons	Actual	Cons
Revenue	Actual	2,098	-2.2%	2.0%	9.4%	7.3%
	Bernstein	2,145				
	Consensus	2,058				
Operating profit	Actual	277	10.8%	20.9%	35.9%	12.3%
	Bern. Est.	250				
	Consensus	229				
Operating margin	Actual	13.2%	1.5%	2.1%	2.6%	0.5%
	Bern. Est.	11.7%				
	Consensus	11.1%				
Net profit	Actual	18.0	-89.4%	-89.8%	-89.5%	2.3%
	Bernstein	169.0				
	Consensus	175.7				
Net income margin	Actual	0.9%	-7.0%	-7.7%	-8.1%	-0.4%
	Bernstein	7.9%				
	Consensus	8.5%				
EPS	Actual	36.9	-90.3%	-90.8%	-89.9%	9.6%
	Bernstein	382				
	Consensus	401				

Kakao's weak net income was largely accounting-driven rather than operational. While operating profit rose 36% YoY to KRW277bn, reported net income fell to KRW18bn due to one-off losses from discontinued operations tied to governance restructuring and tax-related charges. Excluding these items, net income from continuing operations was KRW199bn.

Source: Bloomberg, Corporate reports, Bernstein estimates and analysis.

EXHIBIT 2: **Kakao: Q2 2026 earnings summary**

Segment revenue	Actual	Growth	Bernstein		Consensus	
	Q2 2026	YoY	Q2 2026	Delta	Q2 2026	Delta
Total revenue	2,098	9.4%	2,145	-2.2%	2,058	2.0%
Platform	1,230	16.6%	1,285	-4.3%	1,214	1.4%
Talk Biz	643	12.3%	645	-0.3%	616	4.4%
Advertising	400	13.6%	381	4.9%	371	7.7%
Commerce	243	10.2%	264	-7.9%	245	-0.7%
Platform Others	587	21.7%	563	4.2%	534	10.0%
Contents	868	0.7%	860	0.9%	842	3.1%
Music	558	7.8%	575	-2.8%	546	2.4%
Story	211	-15.8%	190	11.2%	197	6.9%
Media	99	5.2%	96	3.1%	100	-1.1%

Segment operating profit		Growth	Bernstein		Consensus	
		YoY	Q2 2026	Delta	Q2 2026	Delta
Total operating profit	277	35.9%	250	10.8%	229	20.9%
Operating margin	13.2%		11.7%	1.5%	11.1%	18.6%

Source: Bloomberg, Corporate reports, Bernstein estimates and analysis.

UPDATING OUR ESTIMATES FOR KAKAO

We cut our 2027-28 EPS forecasts by 9-10% to reflect more conservative AI monetization assumptions, higher opex and capex associated with Kakao's AI initiatives, and revisions to non-operating cost assumptions. Assuming annual capex of approximately KRW600bn, primarily allocated to data center servers, network equipment, and content-related intangible assets, as well as future capex growth in line with our revenue assumptions, our new PT is KRW65,000 (old KRW80,00), implying a 32x (previous 38x) 1-year forward P/E.

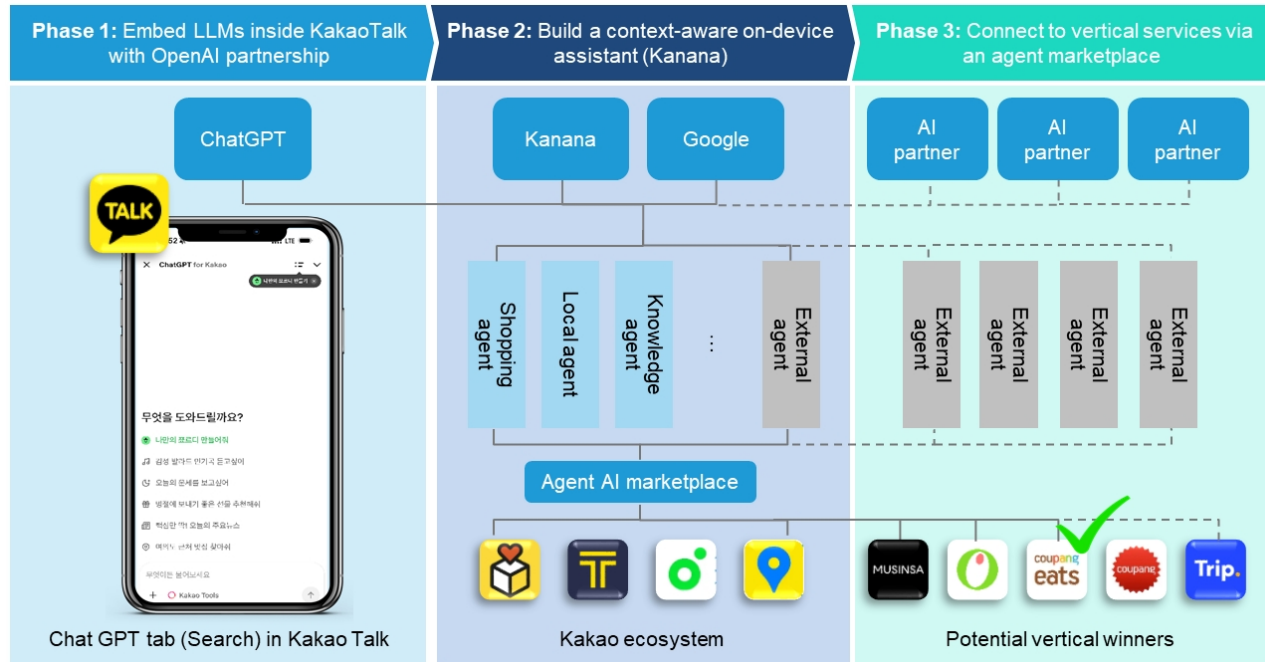
EXHIBIT 3: Kakao: Summary of estimates

Summary of estimate changes	2026E	2027E	2028E
Revenue			
Bernstein - Old	8,594	9,481	10,475
Growth YoY	4.7%	10.3%	10.5%
Bernstein - New	8,395	9,112	9,950
Growth YoY	2.3%	8.5%	9.2%
Consensus	8,306	8,963	9,683
Growth YoY	2.7%	7.9%	8.0%
New vs. old	-2.3%	-3.9%	-5.0%
New vs. consensus	1.1%	1.7%	2.8%
Operating income			
Bernstein - Old	1,021	1,216	1,433
Growth YoY	32.4%	19.1%	17.9%
Margin	11.9%	12.8%	13.7%
Bernstein - New	1,029	1,171	1,369
Growth YoY	33.5%	13.8%	16.9%
Margin	12.3%	12.9%	13.8%
Consensus	982	1,125	1,267
Growth YoY	43.4%	14.5%	12.6%
Margin	11.8%	12.6%	13.1%
New vs. old	0.9%	-3.7%	-4.5%
New vs. consensus	4.8%	4.1%	8.0%
Net income			
Bernstein - Old	787	891	1,082
Growth YoY	23.5%	13.2%	21.4%
Margin	9.2%	9.4%	10.3%
Bernstein - New	561	814	977
Growth YoY	14.2%	45.1%	20.0%
Margin	6.7%	8.9%	9.8%
Consensus	647	824	935
Growth YoY	20.3%	27.4%	13.4%
Margin	7.8%	9.2%	9.7%
New vs. old	-28.7%	-8.6%	-9.7%
New vs. consensus	-13.3%	-1.2%	4.5%

Source: Bloomberg, Corporate reports, Bernstein estimates and analysis.

REPORTING IN CHARTS

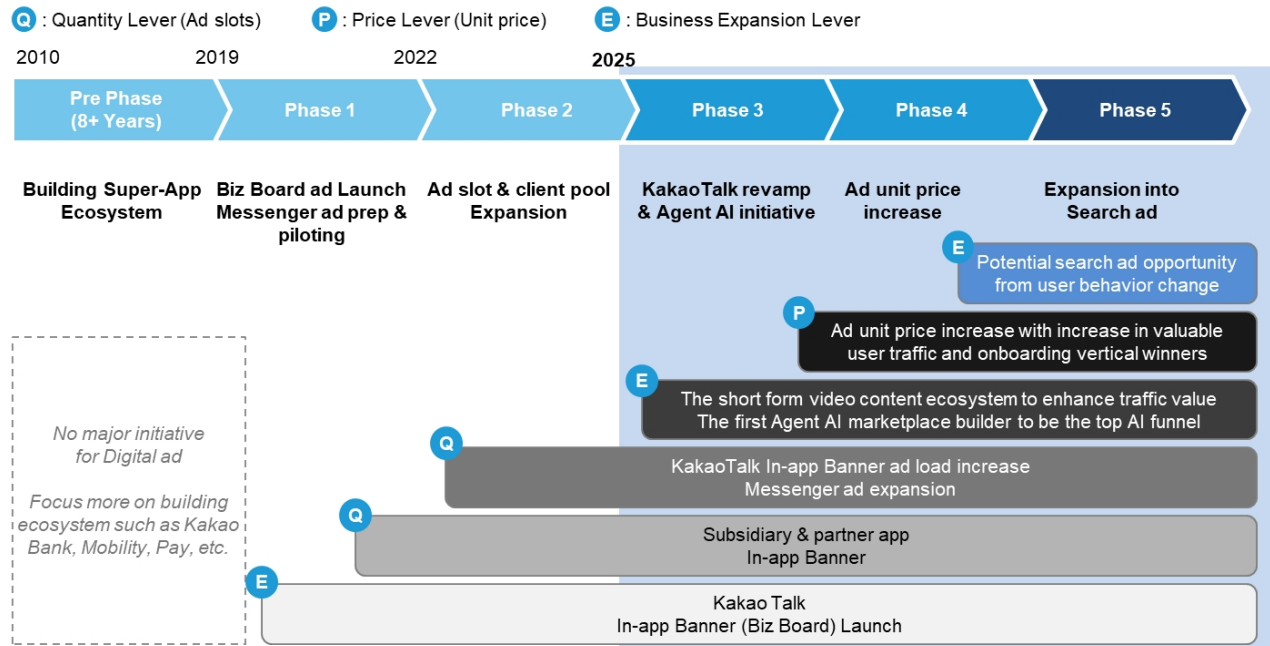
EXHIBIT 4: **A key question since initiation has been, who will play ball with Kakao? The Coupang Eats partnership marks a meaningful win for Kakao's agentic AI ambitions.**



Source: Company websites, Bernstein analysis.

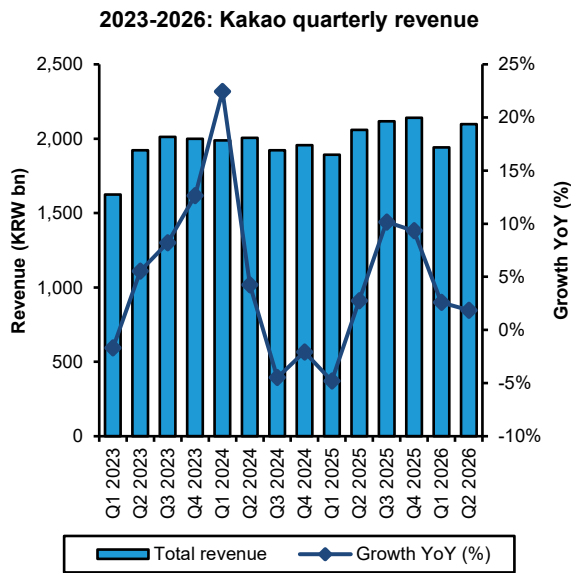
EXHIBIT 5: **Kakao CEO highlighted plans to expand into the digital search advertising market, leveraging AI-driven intent and search data as a new growth engine for Kakao.**

Long history of Kakao's digital ad business monetization



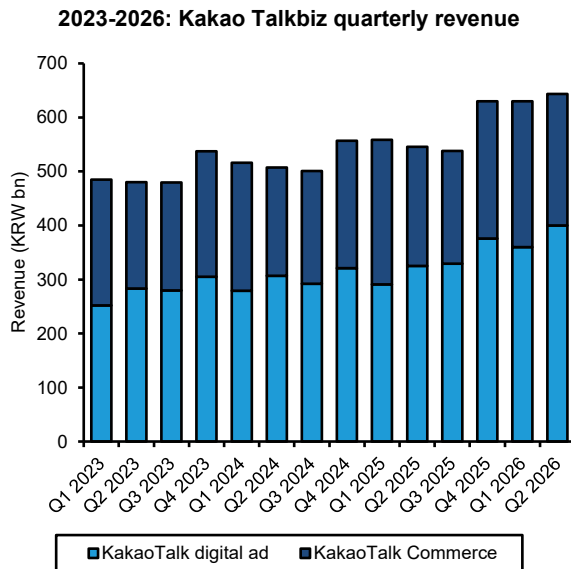
Source: Bernstein analysis.

EXHIBIT 6: **Kakao's Q2 revenue came in at KRW2.1tn (+9% YoY).**



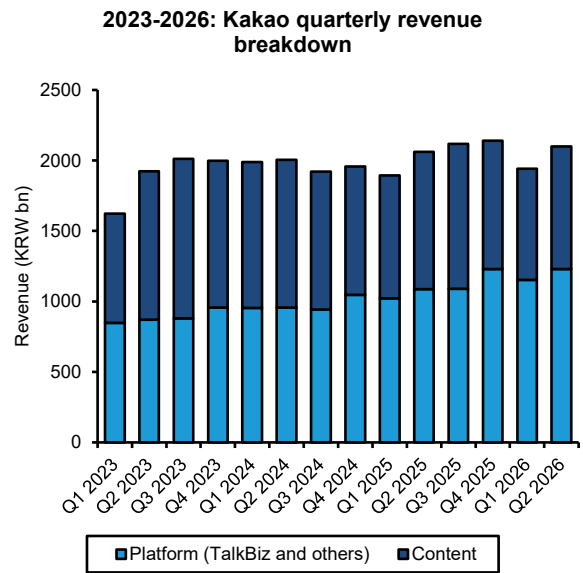
Source: Corporate reports, Bernstein analysis.

EXHIBIT 8: **KakaoTalk digital ad revenue grew 14% YoY, while commerce grew 10% YoY.**



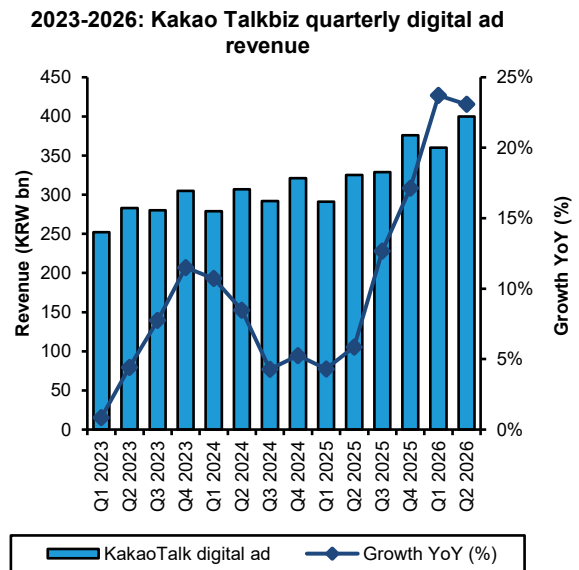
Source: Corporate reports, Bernstein analysis.

EXHIBIT 7: **Growth is being driven by Platform revenue, as the Content segment remains weak.**



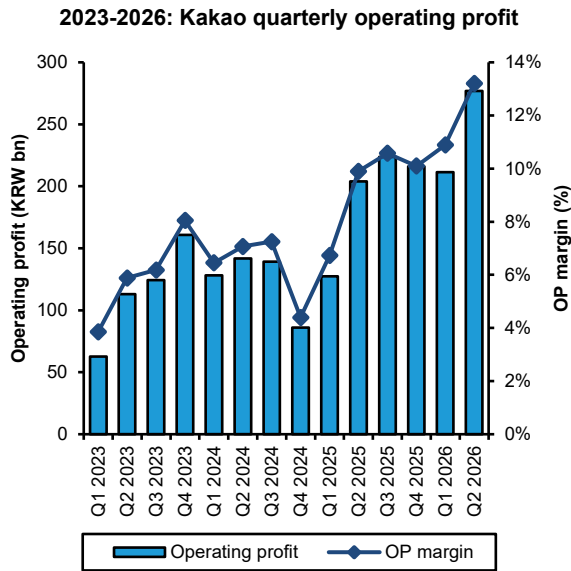
Source: Corporate reports, Bernstein analysis.

EXHIBIT 9: **Kakao's digital ad revenue reached KRW 40bn in Q2 (+14% YoY), supported by business messaging (+20% YoY) and Talk display ads (+28% YoY).**



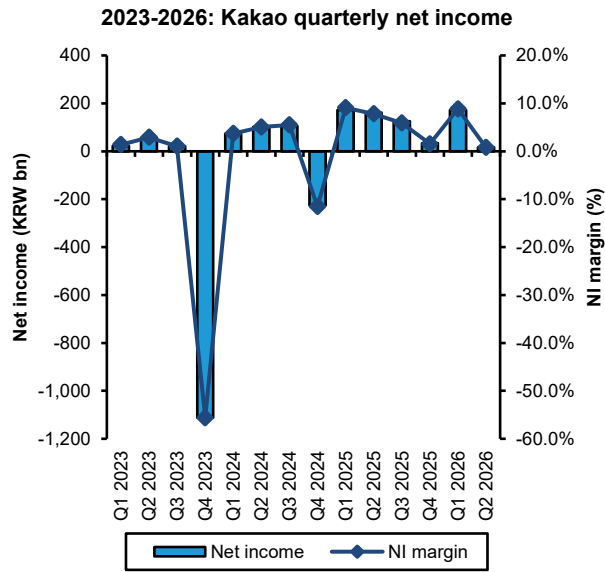
Source: Corporate reports, Bernstein analysis.

EXHIBIT 10: Kakao's operating profit surged to KRW277bn (+36% YoY), driving margins to 13.2% (+2.6pp YoY).



Source: Corporate reports, Bernstein analysis.

EXHIBIT 11: Kakao's net income fell to KRW18bn due to one-off losses from discontinued operations tied to governance restructuring and tax-related charges. Excluding these items, net income from continuing operations was KRW199bn.



Source: Corporate reports, Bernstein analysis.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 12: Kakao: Income Statement

KRW billion	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Revenue	6,137	7,107	7,557	7,872	8,210	8,395	9,112	9,950	10,949
Operating, general and administrative	-5,541	-6,526	-7,096	-7,376	-7,438	-7,365	-7,941	-8,581	-9,337
Operating profit	595	581	461	495	771	1,029	1,171	1,369	1,612
Profit before tax	2,303	1,304	-1,648	50	804	1,287	1,278	1,497	1,774
Income tax expense	-648	-242	-168	-160	-140	-332	-256	-299	-355
Net Income	1,655	1,063	-1,817	-111	664	955	1,022	1,198	1,419
Net profit attributable to SHs	1,401	1,353	-1,013	55	491	561	814	977	1,185
EPS	3,173	3,071	-2,305	125	1,113	1,268	1,840	2,208	2,677

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 13: Kakao: Balance Sheet

KRW billion	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Cash & cash equivalents	7,807	7,108	8,057	8,834	10,335	12,885	14,192	15,807	17,449
Accounts receivable	398	441	622	549	568	587	651	725	800
Inventory	92	160	139	81	77	79	79	79	79
Other current assets	652	666	1,171	1,258	1,399	163	698	1,319	2,260
Total current assets	8,948	8,375	9,988	10,722	12,379	13,715	15,620	17,931	20,589
Property, plant & equipment	567	900	1,337	1,363	1,558	1,825	2,137	2,419	2,703
Intangible assets	6,381	6,093	5,769	5,171	5,226	3,665	3,710	3,760	3,815
Right of use assets	1,399	1,716	1,773	1,781	1,509	1,433	1,433	1,433	1,433
Investments in Associates and Joint Ven	3,216	2,652	2,941	2,923	2,517	2,634	2,634	2,634	2,634
Other non-current assets	2,269	3,227	3,372	3,814	4,610	4,597	4,597	4,597	4,597
Total assets	22,780	22,963	25,180	25,773	27,799	27,868	30,131	32,775	35,770
Account Payable	70	94	242	1,903	2,168	2,907	3,223	3,590	3,962
Accrued Tax	189	158	144	107	211	677	677	677	677
Short-term Borrowings	896	1,055	1,053	1,458	1,144	1,058	1,090	1,112	1,135
Short term lease liabilities	170	244	286	325	331	350	388	432	477
Withholdings	982	837	1,237	1,625	2,286	2,816	2,816	2,816	2,816
Other current liabilities	3,972	3,189	4,603	3,126	2,641	2,446	2,446	2,446	2,446
Total Current Liabilities	6,279	5,577	7,564	8,545	8,781	10,253	10,639	11,072	11,511
Long-term Borrowings	55	715	846	328	991	559	575	587	599
Non-Current Finance Lease Obligations	1,328	1,646	1,732	1,803	1,559	1,546	1,714	1,909	2,107
Long-term operating lease obligations	757	653	719	727	772	327	327	327	327
Other non-current liabilities	770	841	461	427	461	400	400	400	400
Total liabilities	9,190	9,432	11,321	11,830	12,564	13,084	13,655	14,295	14,944
Shareholders' equity	13,590	13,532	13,859	13,943	15,235	14,784	16,476	18,480	20,826
Total liabilities & shareholders' equi	22,780	22,963	25,180	25,773	27,799	27,868	30,131	32,775	35,770

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 14: Kakao: Cash Flow Statement

KRW billion	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Net (loss) income	1,401	1,353	-1,013	55	491	561	814	977	1,185
Depreciation & amortization	367	582	751	862	840	810	967	1,115	1,254
Changes in working capital	562	-233	388	2,181	911	424	0	0	0
Other	-1,024	-1,024	1,215	-1,847	-837	72	72	72	72
Cash flow from operations	1,307	678	1,341	1,250	1,405	1,866	1,853	2,163	2,511
Change in Fixed & Intang	-4,178	-362	-170	565	-568	-999	-358	-332	-338
Net Change in LT Investment	-1,813	644	-342	-21	799	-147	0	0	0
Cash (Repurchase) of Equity	-1,762	-118	-1,225	22	-21	116	116	116	116
Other	4,411	-1,738	-43	-555	-689	0	0	0	0
Cash flow from investments	-3,341	-1,574	-1,780	10	-478	-1,030	-241	-216	-221
Cash flow from financing	4,441	412	1,020	-553	-733	-364	-49	-34	-34
Net effect of exchange rate changes	25	-6	-27	48	-21	0	0	0	0
Net change in cash	2,431	-490	553	756	173	473	1,563	1,914	2,255
Beginning cash	2,894	5,326	4,836	5,389	6,145	6,318	6,791	8,354	10,268
Ending cash	5,326	4,836	5,389	6,145	6,318	6,791	8,354	10,268	12,523

Source: Corporate reports, Bernstein estimates and analysis.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	6 Aug 2026	Price	TTM	Reported EPS				Reported P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
035720.KS (Kakao Corp)	O	KRW	38,300	65,000	(72.6)%	KRW	1,113.49	1,267.83	1,839.82	34.4	30.2	20.8
OLD				80,000				1,778.76	2,014.00			
ASIAx			1,938.44									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Kakao Corporation**

We have valued Kakao at a price target of KRW 65,000 based on a DCF valuation method, implying one year forward PER of 32x (Q3 2027-Q2 2028). (DCF assumptions: WACC=14.6%, Terminal growth rate: 2%; Risk-Free Rate of Return (Rf) = 3.4%, Market Risk Premium (Rm - Rf) = 15.3%, Beta = 0.9).

RISKS**Kakao Corporation**

Downside risk: Weaker-than-expected digital ad revenue growth; higher-than-expected restructuring costs related to streamlining the business structure; loss of user engagement in the KakaoTalk messenger app.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

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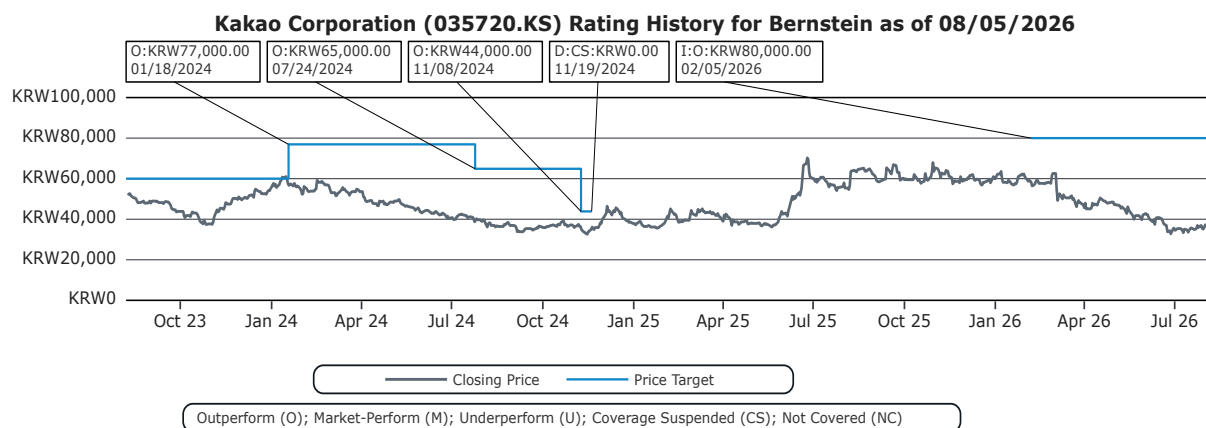
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